

mature retirement years is typically less than in the active retirement years. This means that it is okay if you spend a little more in your active years.

Cash for withdrawals can be produced in a portfolio in many ways. Interest and dividend income are two sources. There is also annual rebalancing in a portfolio. You can easily calculate the amount of income your investments will give you and then take any shortfall during a rebalancing.

Transitional Retirees—Asset Allocation

[Figure 12-4](#) highlights an appropriate asset allocation for people transitioning into retirement and already in an early retirement stage.

The transition from working to retirement is an uncertain time. Accordingly, a retiree's portfolio should be managed with stability and safety of principal as its primary objectives. However, a retirement portfolio still needs growth. A person at age 65 is likely to live for 20 more years, according to IRS Publication 590. As such, the median asset allocation for people in early retirement is 50 percent in stocks and 50 percent in fixed income.

[Tables 12-5](#) and [12-6](#) give basic and multi-asset-class portfolios for investors in this stage.

FIGURE 12-4

Transitional Retirees' including Active Retirees' Allocation Range